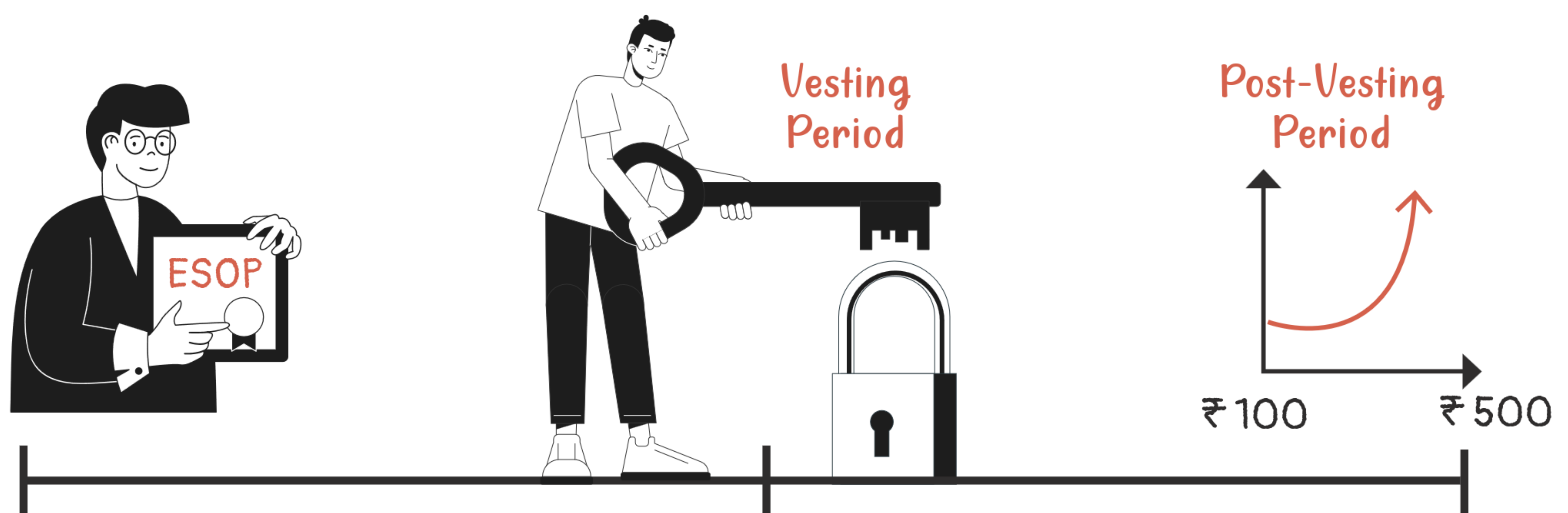


3.6 Employee Stock Ownership Plan (ESOP) & Compensation Structure

1. What is an ESOP?

ESOP stands for Employee Stock Ownership Plan. It's a benefit offered by companies to their employees. It is a kind of incentive where employees are allowed to buy company shares at a discounted price, effectively making it part of their compensation package.

This allows them to become partial owners of the company, aligning their interests with the success of the company and providing them with additional financial rewards as well. By giving ESOPs, companies can retain their talented employees and cultivate loyalty among their workforce.



In short, Employers grant company stock to their employees at a low price.

There's a period known as a vesting period, during which employees cannot sell or transfer the stock.

After the vesting period, employees can sell the stock at the specified price, which could be higher than the discounted price they initially paid.